TECHNOVA SOLUTIONS PVT. LTD.

PERFORMANCE MANAGEMENT POLICY

Document ID	TN-HR-POL-006
Document Type	Performance Management Policy
Policy Owner	Human Resources
Approving Authority	Executive Management
Classification	Internal — Employee Access
Version	1.0
Effective Date	01 April 2026
Review Cycle	Annual
Status	Active
Supersedes	New Policy

1. Purpose

This Performance Management Policy establishes the framework through which TechNova Solutions Pvt. Ltd. (“TechNova” or “the Company”) sets employee objectives, reviews performance, provides feedback, recognizes achievement, identifies development needs, and addresses sustained performance concerns.

The process is intended to connect individual contribution with business priorities while encouraging continuous feedback, professional development, accountability, and fair evaluation.

2. Scope

This policy applies to regular full-time and part-time employees. Fixed-term employees, interns, trainees, and other personnel may follow modified performance processes appropriate to their engagement.

Performance processes may vary by role, department, level, project, or employment arrangement, but material evaluation principles should remain consistent.

3. Performance Management Principles

- Performance should be evaluated against clear and reasonable expectations.
- Goals should be connected to team and organizational priorities.
- Managers should provide feedback throughout the year rather than relying only on annual reviews.
- Employees should have reasonable opportunities to understand and improve performance.
- Evaluation should consider outcomes, quality, behaviors, collaboration, and role responsibilities.
- Performance information must be handled confidentially.
- Ratings should be supported by evidence and documented observations.
- Performance management must not be used to retaliate against employees who raise legitimate concerns.

4. Performance Cycle

TechNova follows an annual performance cycle aligned to the Company's planning calendar. The standard cycle includes goal setting, periodic check-ins, a mid-cycle review, year-end assessment, calibration where applicable, and final communication.

Stage	Typical Timing	Primary Activities
Goal Setting	April	Set objectives, measures, priorities and development goals
Quarterly Check-ins	Quarterly	Review progress, blockers, feedback and priorities
Mid-Year Review	September	Formal progress assessment and goal adjustment
Year-End Review	March	Assess results, behaviors, development and overall contribution
Calibration	After assessments	Review consistency of ratings across teams where applicable

5. Goal Setting

At the beginning of each performance cycle, employees and managers should establish objectives appropriate to the employee's role and level.

5.1 Goal Requirements

- Goals should be specific enough to establish a clear expected outcome.
- Goals should have measurable indicators where practical.
- Goals should be achievable within the employee's authority and available resources.
- Goals should have relevant priorities and expected completion periods.
- Goals may be adjusted when business priorities materially change.

5.2 Goal Categories

- Business or delivery objectives
- Technical or functional objectives
- Customer or stakeholder objectives
- Operational or process-improvement objectives
- Team and collaboration objectives
- Professional development objectives

6. Key Performance Indicators

Where appropriate, objectives may use key performance indicators (KPIs) to measure performance. KPIs must be relevant to the employee's actual responsibilities.

Examples include delivery completion, quality measures, reliability, customer outcomes, productivity indicators, project milestones, operational targets, or development milestones.

KPIs should not encourage behavior that undermines quality, security, ethics, customer interests, or sustainable performance.

7. Continuous Feedback

Managers should provide timely feedback when performance is strong, when expectations are unclear, or when corrective action may be needed.

- Feedback should be specific and based on observable work or outcomes.
- Positive performance should be recognized promptly.
- Performance concerns should be raised close to the relevant event where practical.
- Employees should be allowed to provide context and identify blockers.
- Important performance discussions should be documented appropriately.

8. One-to-One Discussions

Managers are encouraged to conduct regular one-to-one discussions with employees. Discussions may cover objectives, workload, priorities, development, collaboration, wellbeing-related workplace concerns, and blockers.

One-to-one discussions are not a substitute for formal performance reviews but support continuous performance management.

9. Quarterly Check-ins

Quarterly check-ins provide an opportunity to review progress against objectives and identify changes required during the cycle.

- Progress against objectives
- Changes in business priorities
- Risks and blockers
- Support required
- Development activities
- Feedback from employee and manager
- Goal modifications

10. Mid-Year Review

The mid-year review provides a formal assessment of progress during the performance cycle.

The manager should identify areas where the employee is performing as expected, exceeding expectations, or requiring additional support.

A mid-year review is normally developmental and does not necessarily result in a final performance rating.

11. Year-End Review

The year-end review evaluates the employee's overall contribution during the completed performance cycle.

The assessment should consider both what was achieved and how the work was performed.

11.1 Evidence

- Completed objectives
- Quality and reliability of deliverables
- Customer or stakeholder outcomes
- Technical or functional contribution
- Collaboration and behavior
- Leadership where applicable
- Development progress
- Relevant documented feedback

12. Performance Rating Framework

Where a formal rating system is used, TechNova applies the following standard five-level framework.

Rating	Description
5 — Exceptional	Consistently delivers exceptional results beyond the normal expectations of the role and demonstrates significar

Rating	Description
4 — Exceeds Expectations	Frequently exceeds expectations and delivers results above the requirements of the role.
3 — Meets Expectations	Consistently meets the expected standards, objectives, and responsibilities of the role.
2 — Partially Meets Expectations	Meets some expectations but has material gaps requiring focused improvement.
1 — Does Not Meet Expectations	Performance is materially below role expectations and requires significant corrective action.

A rating of 3 represents successful performance at the expected level. Employees should not be expected to receive a rating above 3 merely because they completed normal responsibilities.

13. Rating Considerations

- Results against agreed objectives
- Complexity and scope of work
- Quality and sustainability of outcomes
- Demonstrated behaviors and Company values
- Collaboration and stakeholder management
- Role-specific competencies
- Documented circumstances affecting delivery

Ratings should not be determined solely by the number of tasks completed. Managers should consider the context, significance, quality, and impact of the employee's contribution.

14. Calibration

TechNova may conduct calibration discussions to improve consistency in performance ratings across teams.

Calibration is intended to review whether ratings are supported by evidence and applied consistently. It should not be used to force employees into predetermined rating distributions.

Participants must protect the confidentiality of employee performance information.

15. Employee Self-Assessment

Employees may be asked to provide a self-assessment summarizing achievements, challenges, learning, and progress against objectives.

A self-assessment supports the review process but does not automatically determine the final rating.

16. Manager Assessment

The manager is responsible for preparing the performance assessment based on available evidence and documented performance discussions.

Managers should distinguish between performance facts, interpretations, and future development recommendations.

17. Feedback from Other Stakeholders

For roles involving significant cross-functional or customer interaction, managers may obtain relevant feedback from project leads, peers, customers, or other stakeholders.

Feedback should be considered carefully and should relate to the employee's responsibilities. Anonymous or unsupported allegations should not be treated as automatically established facts.

18. Promotions and Performance

Strong performance may support consideration for promotion, but performance alone does not guarantee promotion.

Promotion decisions may also consider role availability, organizational need, demonstrated capability at the next level, sustained performance, and the applicable career framework.

19. Development Planning

Each employee should have opportunities to identify development areas relevant to their current or future responsibilities.

- Technical training
- Professional certifications
- Mentoring
- Leadership development
- Stretch assignments
- Cross-functional projects
- Knowledge-sharing activities

20. Performance Improvement

When performance is below expectations, the manager should first clarify the gap and determine whether the employee understands the required standard.

The Company may provide coaching, additional guidance, training, clearer objectives, or other reasonable support.

21. Performance Improvement Plan (PIP)

A formal Performance Improvement Plan may be used when sustained performance concerns require a structured improvement period.

21.1 PIP Contents

- Specific performance gaps
- Expected performance standard
- Measurable improvement objectives
- Available support or resources
- Review dates
- Duration of the plan
- Consequences of insufficient improvement
- Manager and employee responsibilities

A PIP does not guarantee continued employment for any particular duration. Employment decisions remain subject to applicable employment terms and requirements.

22. PIP Review Period

A typical PIP may operate for 30, 60, or 90 days depending on the nature of the performance concern. The manager and HR should select a period appropriate to the role and the opportunity for meaningful improvement.

Progress should be reviewed at agreed intervals rather than only at the end of the plan.

23. Successful Completion of PIP

A PIP may be considered successfully completed when the employee consistently demonstrates the required improvement and the manager, with HR where appropriate, determines that the documented expectations have been met.

Following completion, normal performance management continues.

24. Insufficient Improvement

If the employee does not demonstrate sufficient improvement after appropriate support and review, the Company may take further action, which may include extending the improvement process, reassignment where appropriate, or disciplinary or employment action consistent with applicable requirements.

25. High Performance Recognition

Employees demonstrating exceptional contribution may be recognized through formal or informal recognition programs.

Recognition may include awards, appreciation, development opportunities, expanded responsibilities, or consideration for other Company programs.

26. Performance and Compensation

Performance outcomes may be considered in compensation review processes where applicable. A performance rating does not independently guarantee a salary increase, bonus, or other compensation adjustment.

Compensation decisions are subject to Company budgets, compensation frameworks, role level, business performance, and applicable approval processes.

27. Underperformance During Probation

Employees in probationary or introductory periods may be assessed using role-specific expectations and more frequent feedback. The Company may use a modified performance process appropriate to the employee's stage of employment.

28. Role or Goal Changes

Business priorities may change during a performance cycle. Managers should revise objectives when material changes make an existing goal obsolete, impractical, or no longer aligned with business needs.

Material goal changes should be communicated to the employee and documented.

29. Leave and Performance Assessment

Approved leave and legitimate absences should be considered when evaluating whether an employee had a reasonable opportunity to complete assigned objectives.

Managers should avoid treating approved leave itself as negative performance behavior.

30. Remote and Hybrid Employees

Employees working remotely or under hybrid arrangements are evaluated using the same substantive performance expectations applicable to their roles.

Physical presence alone should not be treated as a substitute for measurable contribution, collaboration, availability, or delivery.

31. Performance Records

Performance records may include goals, check-in notes, feedback, assessments, ratings, development plans, PIPs, recognition records, and related communications.

Performance information must be stored in approved systems and accessed only by authorized individuals with a legitimate business need.

32. Confidentiality

Performance information is confidential employee information. Managers and HR must not disclose ratings, performance concerns, compensation-related outcomes, or PIP information to unauthorized individuals.

33. Employee Review and Response

Employees should have an opportunity to discuss their assessment with their manager and provide relevant context.

Where the Company provides a formal review or appeal process, employees may submit a response through that process.

34. Performance Review Concerns

An employee who believes a performance review contains a material factual error or was conducted inconsistently may raise the concern with the manager or HR.

Concerns should identify the specific issue and, where possible, provide relevant supporting information.

35. Manager Responsibilities

- Set clear expectations.
- Conduct regular check-ins.
- Provide timely and constructive feedback.
- Maintain appropriate performance documentation.
- Evaluate employees using job-related evidence.
- Recognize strong performance.
- Address performance concerns promptly.
- Coordinate with HR on formal improvement processes.

36. Employee Responsibilities

- Understand assigned objectives.
- Track progress and communicate blockers.
- Participate in performance discussions.
- Request clarification when expectations are unclear.
- Act on agreed development actions.
- Provide accurate self-assessment information.
- Raise material concerns through appropriate channels.

37. HR Responsibilities

- Maintain the performance-management framework.
- Provide guidance to managers and employees.
- Support calibration processes.
- Maintain appropriate performance records.

- Support formal PIPs and performance-related processes.
- Review policy effectiveness and recommend improvements.

38. Exceptions

Exceptions to standard performance-cycle dates or processes may be approved by HR and the responsible business authority where appropriate.

Exceptions should be documented and should not be used to unfairly disadvantage or favor an employee.

39. Policy Violations

Managers must not falsify performance records, deliberately manipulate ratings, retaliate through performance processes, or use performance management for discriminatory or improper purposes.

Employees must not knowingly falsify self-assessments or supporting evidence.

Potential violations may be reviewed under applicable Company procedures.

40. Frequently Asked Questions

What rating means normal successful performance?

A rating of 3 — Meets Expectations — represents successful performance at the expected level.

Does a rating of 3 mean poor performance?

No. It means the employee consistently meets the expectations of the role.

Can goals change during the year?

Yes. Goals may be adjusted when business priorities or role responsibilities materially change.

What is a PIP?

A Performance Improvement Plan is a structured process used to define performance gaps, expected improvements, support, review dates, and potential consequences.

How long can a PIP last?

A typical PIP may last 30, 60, or 90 days depending on the circumstances.

Does a high rating guarantee promotion?

No. Promotion also depends on role availability, organizational needs, readiness, and the applicable career framework.

Does approved leave reduce my performance rating?

Approved leave itself should not be treated as negative performance behavior.

Are remote employees evaluated differently?

No. The substantive performance expectations for the role remain applicable regardless of approved work location.

41. Policy Administration

Human Resources owns this policy and reviews it at least annually or when material changes occur in organizational planning, performance processes, compensation practices, or applicable requirements.

The latest approved version maintained in the official Company policy repository is the authoritative version.

42. Revision History

Version	Effective Date	Description	Owner	Approval
1.0	01 April 2026	Initial release of Performance Management Policy	Human Resources	Executive Management

43. Related Documents

- Employee Handbook
- Recruitment & Hiring Policy
- Promotion and Career Development Policy
- Employee Benefits Policy
- Leave Policy
- Attendance Policy
- Work From Home & Hybrid Work Policy
- Code of Conduct

END OF DOCUMENT

TN-HR-POL-006 | Version 1.0 | Internal — Employee Access | Human Resources